

Fearnleys Tanker Market Wrap-up Jul/Aug 2024

Aug 14, 2024

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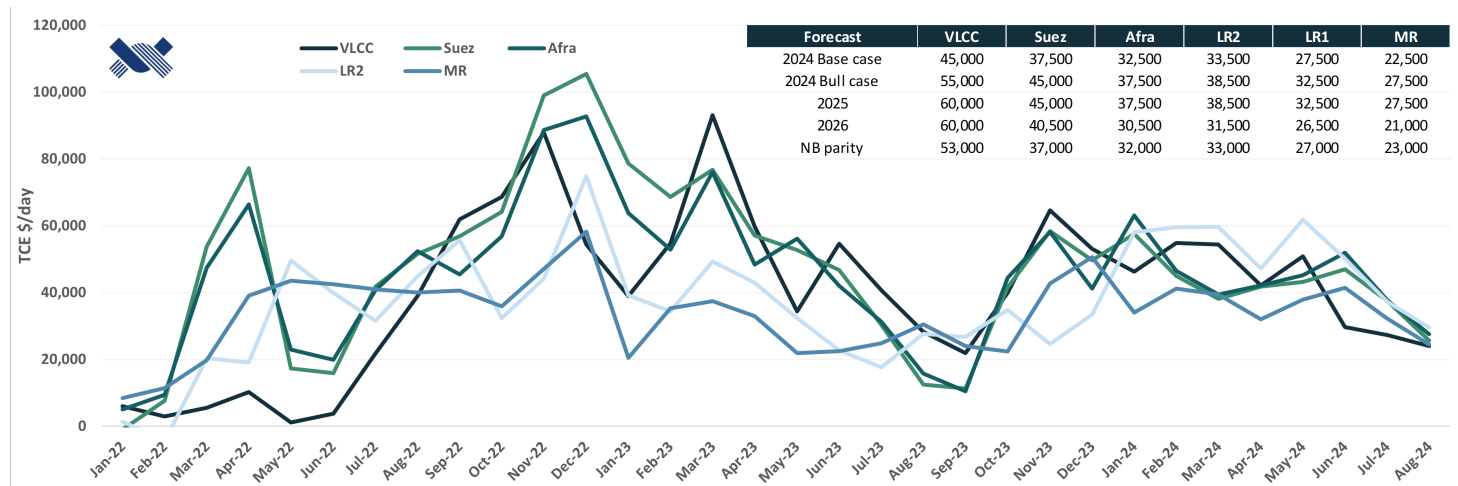
Summary and outlook

- Weaker earnings recently are mostly caused by seasonality, but also some slightly weaker oil market developments
- Energy agency forecasts and continued geopolitical disruption suggest a (sharply) firming rate trajectory into the winter and 2025
- There are some macroeconomic and geopolitical threats to the outlook

Rates have softened in recent weeks and months, in line with the normal seasonal pattern. There are some underlying causes for this too, especially as Chinese crude oil buying interest has weakened over the last few months and the oil market sentiment appears overall softer.

Recent macro worries with the reversal of the JPY carry trade after the BOJ's rate hike underscores the risks for the economy and in turn for the tanker market. Still, most recent oil energy forecasts - updated after the recent macro scare, point to solid upside potential for volumes through year-end, which will build on YTD tonne-mile demand gains. This, in turn, should give normal seasonality to the upside into the winter.

Rates and forecast



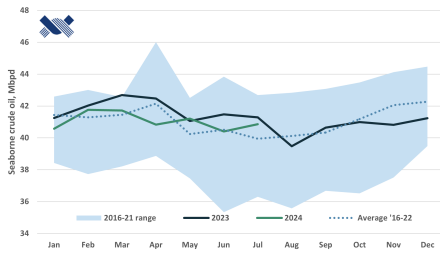
Source: Fearnleys, Baltic

Recent market development

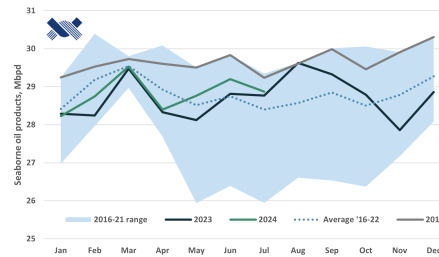
Overall tankers volumes have been just about flat YTD vs. the same period last year, with crude volumes down 1.7% and products up 1.5%. Typically we see the trough in July with gradual increases from here until year-end, and this year should be no different.

Tanker tonne-mile demand has increased by 1.7% YTD, with growth 'saved' by Red Sea evasion which has contributed to an estimated 3% overall tonne-mile growth - skewed toward product tankers. We believe that demand growth potential is now higher for crude tankers going forward as most supporting factors for products (Russia/Ukraine, Red Sea and refinery expansions) have already to a large extent played out - not that these supporting factors will disappear, but perhaps not contribute further to the upside..

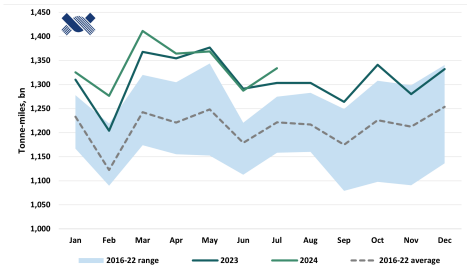
Crude tanker volumes



Product tanker volumes



Total tanker tonne-miles

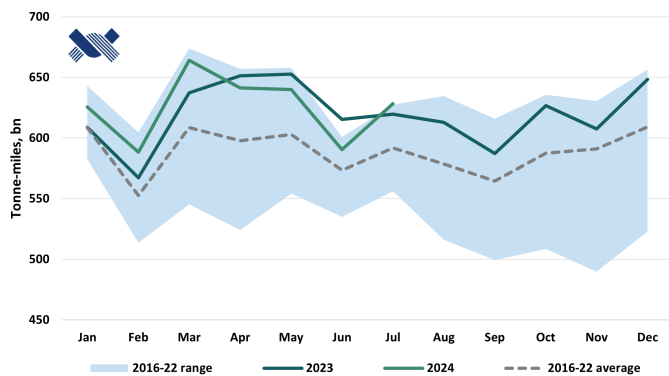


Source: Fearnleys, Vortexa

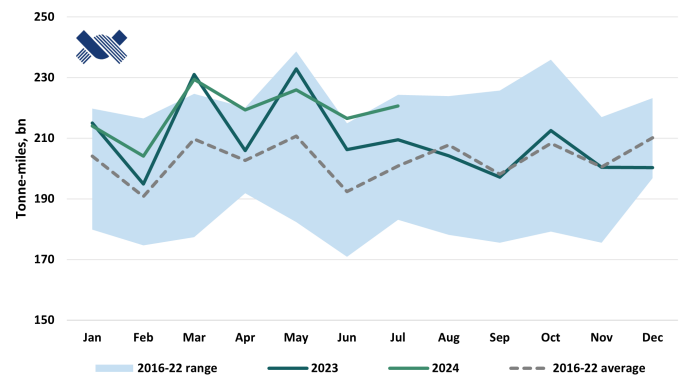
VLCC earnings through the first seven months of the year have been about \$10k/d lower than the same period last year, and in August to date also remain somewhat below. That is despite only one VLCC being delivered (vs. two converted to FSOs), and tonne-miles increasing by 0.6%. Hence, on paper current and recent VLCC rates are arguably too low. Last year earnings bottomed in September, but this year we believe the inflection point should come slightly earlier given this current 'underpricing'.

For Suezmaxes, the decline in earnings has been about similar, despite tonne-miles increasing by 2.3% and zero fleet growth, suggesting that here too earnings lag fundamentals.

VLCC tonne-mile demand



Suezmax tonne-mile demand



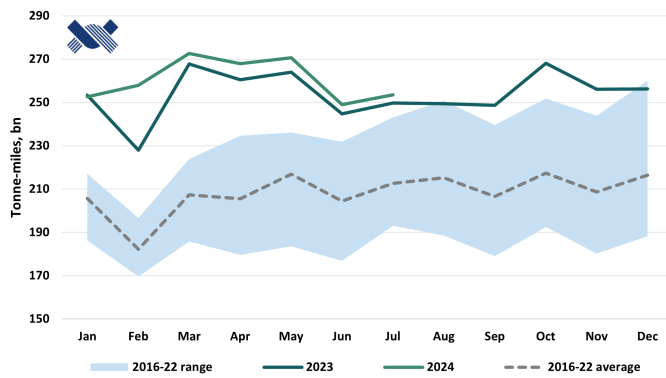
Source: Fearnleys, Vortexa

The earnings decline is similar also for Aframaxes, following a 3.1% dip in tonne-miles, whereas LR2s have fared much better with earnings up by nearly \$15k/d y/y following a 9.7% YTD increase in tonne-miles. Looking at these two combined, which is more appropriate given the switching flexibility, we see fleet growth YTD of 1.5% vs. tonne-mile growth of 3.2% - which also rhymes with the overall increase in earnings between them.

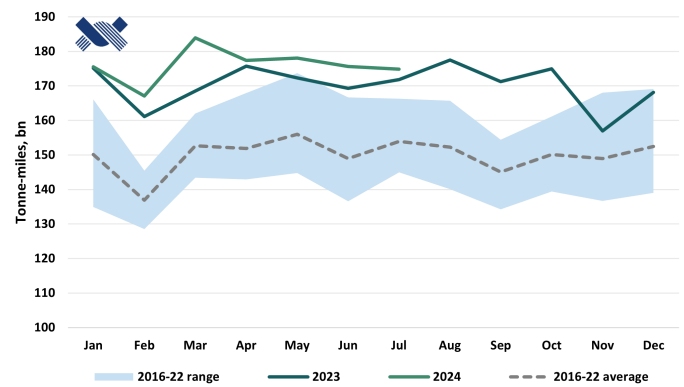
For MRs tonne-mile demand of 3.2% has also outpaced fleet growth of 0.9% which corresponds with a \$3k/day increase in earnings.



Afra/LR2 tonne-mile demand



MR/Handy tonne-mile demand



Source: Fearnleys, Vortexa

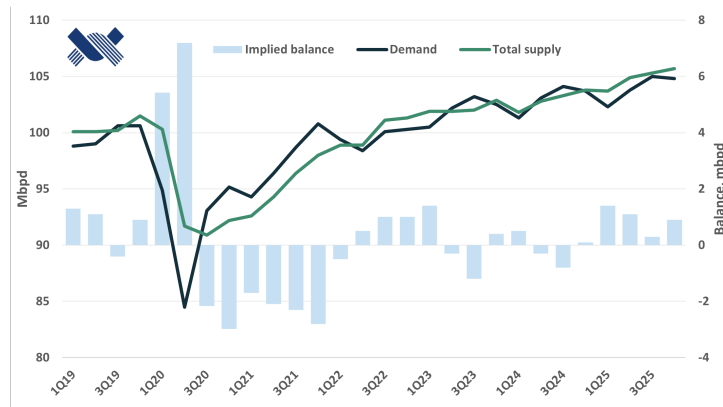
Oil market

Global inventories have drawn recently, matching a relatively steeply backwardated forward curve. The oil market narrative, however, has tilted slightly more bearish recently, although recent energy agency updates did not materially revise demand growth estimates other than for China. Still, even the revised China estimates point to 3-400 kbpd upside for demand through year-end.

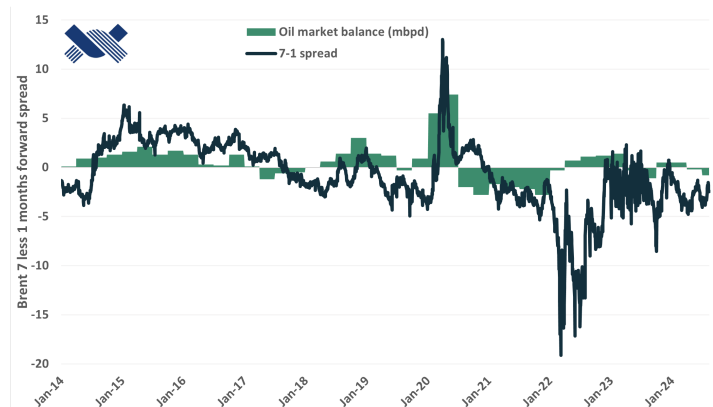
In the IEA's most recent update, this was more than offset by lower production estimates, especially for the U.S. Hence, the projected deficit for the third quarter has grown, but still there is an implied oversupply in 2025 for OPEC+ to overcome before being able to materially reverse cuts. That said, if the recent slowdown and even slight decline in U.S. crude oil production continues, and demand surprises to the upside, there may be some more room.

Through the remainder of this year, the IEA forecasts nearly 500 kbpd of supply growth, mainly from the Atlantic Basin. That comes on top of increased exports after seasonal domestic demand in key export areas reach a peak this month. Next year's supply growth from non-OPEC+ is estimated at 1.5 mbpd, with 0.6 mbpd of that coming from the U.S. and most of the rest from Guyana, Canada and Brazil.

Oil market balance



Brent 7-1 month forward spread



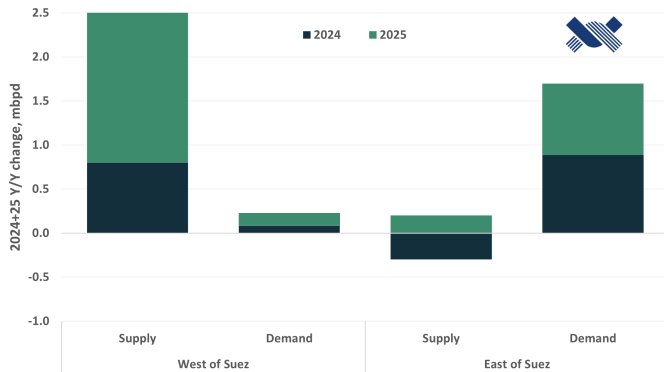
Source: IEA, Bloomberg

The geographical mismatch between global oil supply and demand growth is set to grow further, which should facilitate for increased West-East trade going forward. The IEA's latest estimates do show a narrowing of the supply/demand gap with slightly lower supply growth in the West (0.8 mbpd) and slightly lower demand estimates in the East (0.9 mbpd) this year vs. previous expectations - although the gap widens further next year (Western supply growth of 1.7 mbpd and

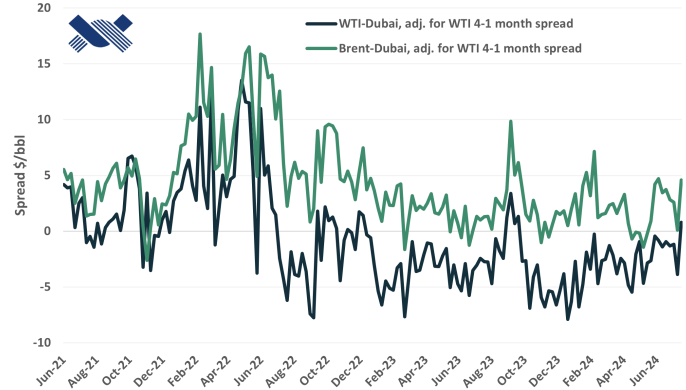
Eastern demand growth of 0.8 mbpd).

In line with this recent slight softening of Eastern and slight strengthening of Western demand, the the Atlantic-East arb. has developed unfavourably for long-haul tanker demand recently. The Middle East turmoil and Red Sea 'closure' has possibly also contributed to some risk premium in Brent and WTI prices.

Oil supply vs. demand growth by region



Brent/WTI vs. Dubai pricing



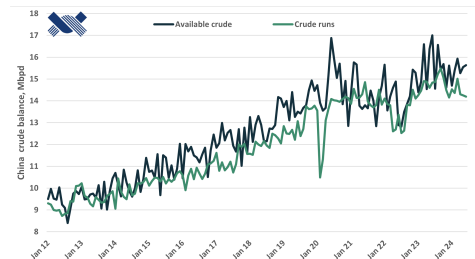
Source: IEA, Bloomberg

China's apparent oil demand figures were again slightly lower y/y in June, but YTD remain 3.8% higher vs. the same period last year. Refinery runs are down 1.5% and crude oil imports down 2.3%. There has thus been an implied stock build of nearly 1 mbpd YTD vs. 750 kbpd last year.

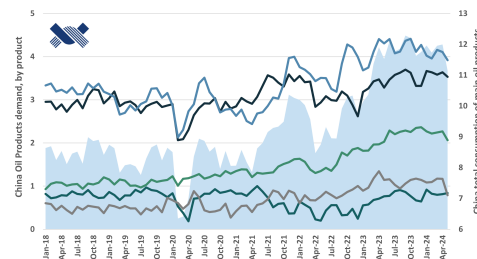
It is worth noting that apparent demand has developed most strongly for jet fuel, naphta and gasoline - all linked to consumption which mirrors strong services PMIs, whereas fuel oil, bitumen and diesel demand has declined - in line with softer manufacturing PMIs.

Argus estimates that for China's GDP growth to hit targets this year, oil demand should recover by at least 400 kbpd through the remainder of the year. With ample import quotas, crude oil imports could increase, probably depending on price (and/or government stimulus).

China crude oil availability vs. crude runs



China apparent oil products demand



Brent priced in CNY



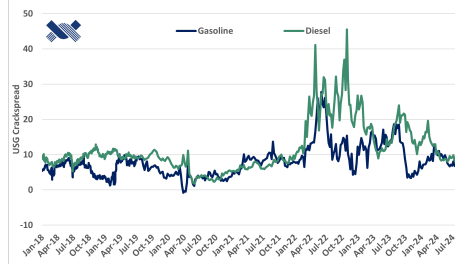
Source: Argus, Bloomberg

Refinery margins have generally weakened from earlier this year and the last few years, although remain somewhat above historical averages. New capacity coming on and somewhat sluggish global demand has taken its toll and as seasonal demand will soon start to fade it remains to be seen how profitability will keep up - which may pose some risk to product tanker volumes and the ability to accommodate high rates.

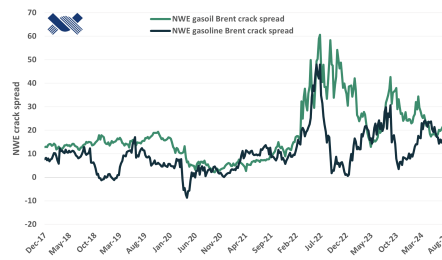
One thing to note is that Chinese margins have recovered somewhat recently, which together with a stronger CNY (oil

priced in CNY has rarely been cheaper over the last three years) and expectations for new export quotas could lead to increased crude oil buying appetite going forward.

U.S. Gulf crack spreads



Northwest Europe crack spreads



China crack spreads

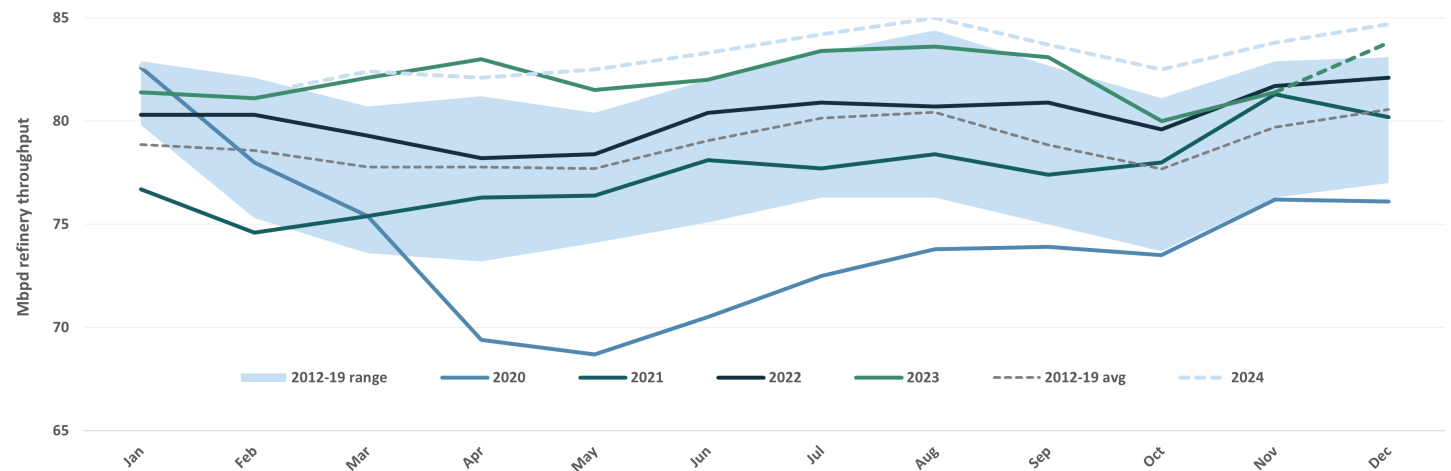


Source: EIA; Bloomberg, Argus

In both hemispheres there has recently been more talk about refinery run cuts due to weaker margins. The IEA's most recent run growth estimates were revised down 150 kbpd for this year, with a significantly lower 3Q estimate. Next year's estimate was also revised 180 kbpd lower. This still suggests growth of 840 kbpd, although a good portion of that may have already come, and 'only' 600 kbpd next year. This may be considered a slight disappointment for product tanker owners.

The recent softening of product tanker rates is in large part explained by the combination of lower refinery runs, less room for high freight rates amid lower margins and small arbs, and VLCCs and Suezmaxes cleaning up - although the effect of the latter is likely to ebb going forward.

Refinery throughput



Source: IEA

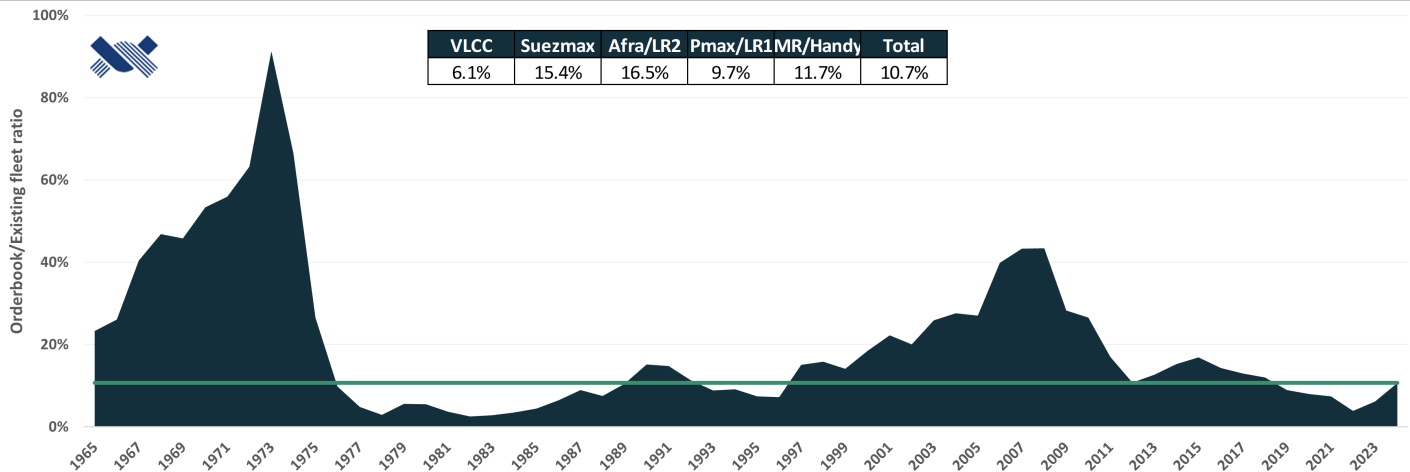
Fleet growth outlook

As normal with strong rates the orderbook has continued to increase recently, and is most recently up to 10.7% vs. the fleet. There is still a number of reported and rumoured orders which will most likely add another couple of percentage points to the orderbook to fleet ratio. A 15% orderbook to fleet ratio would be considered normal or what is required, while the historical average is closer to 20%.

Regardless, fleet growth for this and next year will remain historically low, following a 22-year low for deliveries last year.

From 1.2% gross fleet growth this year and 2.7% next year we expect that inefficiencies for older vessels and operational constraints from new regulations will ensure that real fleet growth is closer to zero.

Orderbook to fleet, current vs. historical

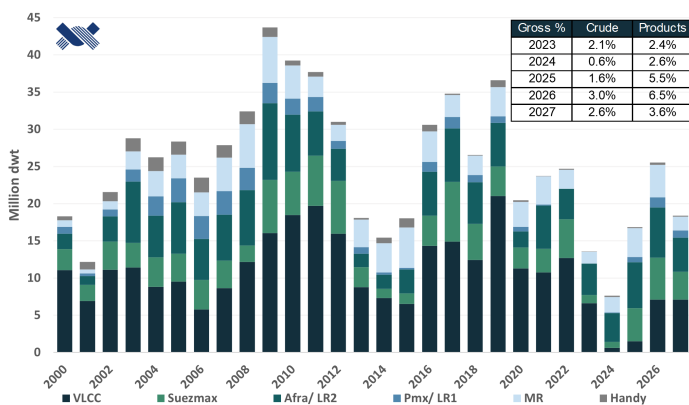


Source: Fearnleys

That said, there appears to be some rebalancing in the cards over the next year and a half, where fleet growth will be the lowest for VLCCs and Suezmaxes and highest for Afras/LR2s and MRs, which means that the outperformance of the latter two over the past few years will likely subside. Overall, gross product tanker fleet growth is scheduled to pick up to 5.5% next year, vs. 1.6% for crude tankers.

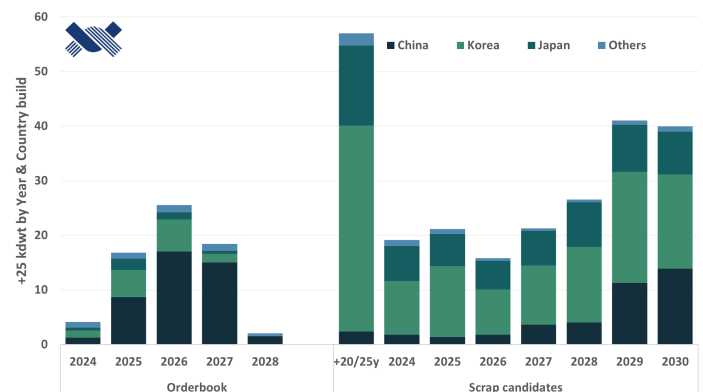
From 2026 onwards fleet growth may become more meaningful, which means the market outlook becomes more vulnerable to change in demand.

Annual deliveries



Source: Fearnleys

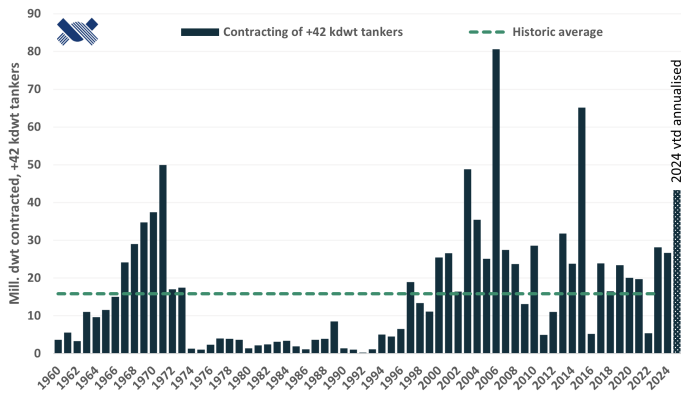
Orderbook vs. phase-out potential



Ordering YTD has risen to an annualised pace which has only been surpassed a few year historically, while scrapping remains minimal. The 27m dwt which has already been ordered is nearly on par with last year's full year count of 28m. However, to accommodate for continued demand growth and the wall of phase-out candidates coming from the early 2000s newbuilding boom, ordering of such magnitude may be needed - not only now, but also going forward as eventually the oldest vessels will become obsolete, even from the shadow markets...

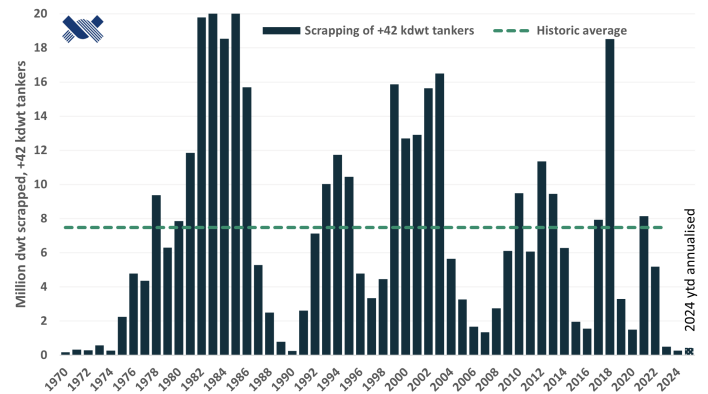
Only two vessels have been confirmed scrapped this year, and while a handful more have been converted, on-paper phase-out has been minimal.

Historical tanker ordering



Source: Fearnleys

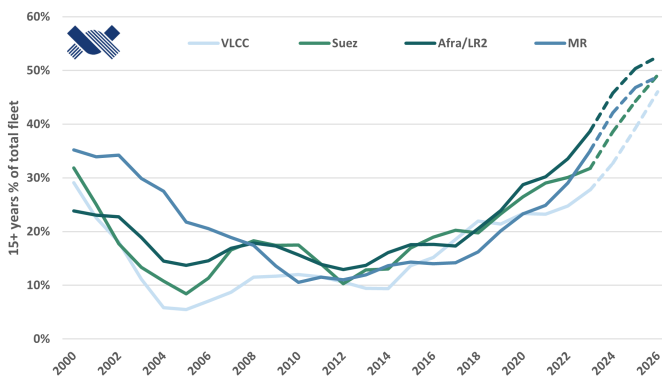
Historical tanker phase-out



Already by 2026 nearly half the tanker fleet will be 15+ years old. While not relevant for phase-out, it does at least pose a challenge for those charterers who adhere to a strict 15 years age limit, and suggests these restrictions may be eased going forward.

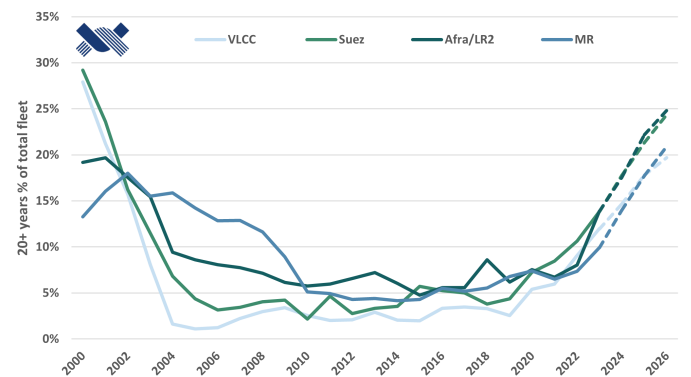
More relevant is the 20-25% of the fleet which will be 20+ years old in two years. Again, this does imply that average scrap age may rise from the 10-year average of 21-22 years old for the biggest and 25+ years old for the smaller segments. Otherwise, the orderbook as is today would be insufficient to accommodate for demand growth and phase-out. We do, however, expect to see scrapping tick gently up from the most recent levels within a few years, and that gradual phase-out in the form of lower utilisation for older vessels will continue.

15+ years old vessels as % of total fleet



Source: Fearnleys

20+ years old vessels as % of total fleet





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